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# Branding on the Internet

**THERE IS A WAY TO PUT OLD ECONOMY RULES AND MODELS TO WORK ON THE INTERNET.**

By Larry Chiagouris and Brant Wansley

It's almost impossible to pick up a business publication without seeing some reference to the world of new media, especially the Internet and its role in marketing a product or service. A substantial amount of this rhetoric, however, ignores one of the most important components of a marketing professional's responsibility—building a brand or corporate reputation to create relationships with customers. When it comes to building a brand on the Internet, never have so many talked so little of what may be the Internet's most stunning capability—strengthening the bond with customer and prospects.



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# EXECUTIVE briefing

Bonding brands with customers has always been about building relationships. It has always been about taking someone who knows little or nothing about a company or its products and transitioning them to become a loyal user. Although the tactics might sometimes be different, many classic marketing principles still apply.

"This is revolutionary," says Claudia Dobkin, associate director of the Miami-based branding and naming agency Landor Associates, who says e-branding is a watershed marketing development. "It's a startling new discipline," concurs Howard Rockett, chairman and CEO of Raleigh, NC-based Rockett Burkhead & Winslow. "A brand has to instantly explode into the mind of the exposed target."

"Branding is redefined online," says Caroline Riby, vice president-media director at Saatchi & Saatchi Rowland of Rochester, NY. "We are moving beyond representing a brand to experiencing it."

In this new world of e-branding, the Internet has become more than a gimmick or a mere line item on the communications budget. It can now play a pivotal role in enhancing brand relationships and corporate reputations. It offers a huge advantage over traditional mass media. The speed people can move from awareness to action on the Internet is a true differentiator and challenge for e-marketers. This requires a new way of thinking about how to design Web sites and related marketing communications. However, we agree with Sergio Zyman, author of *The End of Marketing As We Know It*, there is no difference between building an Internet brand and a traditional brand. In effect, the steps to bond prospects to brands are essentially the same. The difference, however, will be the speed a brand can transition prospects to customers. To fully appreciate this new medium, let's review how communication helps to build relationships.

## Relationship-Building Continuum

Prospects pass through several stages before embracing a relationship with a company. These stages are driven primarily by reputation elements. The first is the consumer becoming aware of the company or its brands. At this stage the prospective buyer can recall or recognize the name of the company. That does not mean trust in the brand, but simply a sense of the company as a player in some product or category. During the second stage, the prospect becomes familiar with the company through acquiring an appreciation of the products or services offered, and various related features.

The next stage takes the relationship to a deeper level. The potential customer becomes motivated to purchase a product or service because of the perceived benefits derived from particular features. During this phase, positive imagery about the brand or company encourages a feeling of trust, which in turn, enhances the relationship-building process.

The final stage is the most important. At this stage, a transaction occurs that consummates the relationship. The prospect and the company each get something from the other. They are no longer strangers. Both comprehend something about each other, hopefully encouraging many repeated exchanges.

In looking at media choices for creating this desired relationship, the advantage of the Internet over mass media is obvious. Mass media cannot communicate with individual prospects in a customized way based on where each one is in the different stages of the relationship-building process.

Whatever messages are sent out to the world go to everyone, no matter what level of trust and interest the company has previously generated. Accordingly, some are told what they already know, while others are not able to learn what they need to know to engage further. By contrast, a well-executed e-branding strategy, expressed in a well-designed Web site and integrated e-marketing program, can adapt communications to match the aspiring buyer's needs and wants at any stage in the relationship-building process.

## The Internet and Relationships

Don Peppers, co-author of *The One to One Future*, has noted the future of marketing is about persuading consumers to participate in a dialogue. Not just any dialogue, but one that helps to bond the consumer to the brand. Rather than simply interrupting a television show with a commercial message or barging into their lives with unannounced phone calls or letters, innovative marketers will first try to get individuals to voluntarily enroll in the selling process. A volunteer's experience will almost always be more likely to result in the embrace of a brand than any forced viewing or consumption experience can ever accomplish.

Interactive technology enables marketers to inexpensively attract consumers



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into one-to-one relationships fueled by two-way "conversations"—played out via mouse clicks on a computer. Through this iterative process, prospective buyers collaborate with marketers to fashion the product or service being sold. By inviting each prospect to join in a uniquely responsive and tailored dialogue, marketers are more likely to earn loyalty.

To nurture such a highly targeted and relevant engagement, the communications professional needs to create marketing tactics customized to whatever stage the prospect has reached in the relationship-building process. Creative material on the Web site needs to do several things. It must capture the attention of those prospects who know nothing or very little about the company, but are interested in its category. It also must build awareness of what the company does within the context of the industry in which it's competing. For those who already know something of the company, but not the advantages of doing business with it, site content should identify and link benefits sought by the consumer to the company's products and services. This material needs to deepen to a level that triggers a desire to do business with the company. Clearly, those individuals wishing to become customers need easy site access to satisfy their needs and assure the relationship develops even further. And most importantly, existing customers of the company need to feel their interaction with the site, identifying them as more than just an anonymous browser.

These customers need to be given some sense they have access not available to just anyone. They need to be rewarded for continuing to engage with the company.

There are many design elements that can accomplish the objectives of moving a prospect along the relationship-building continuum. These techniques range from brief registration forms that begin the relationship-building process, to games that intrigue the user on a category relevant subject, to an intelligent component that knows if the user has visited the site before and greets-treats the user in a manner that reflects this knowledge.

## Successful E-Branding Tactics

Consider some of the successful Internet branding tactics of leading marketers. Amazon.com launched a new idea for packaging books by having John Updike write the first installment of a story. Then for 45 days after that, people came to the Amazon Web site and competed to add to the story. In the end, Updike wrote the last paragraph. So, it was a serial collaboration with 45 or 46 authors. It was hugely successful as a fun event that involved hundreds of thousands of Amazon.com customers. The company did the same thing with a Doonesbury cartoon. Gary Trudeau did the first panel, and left the other panels blank. Each day Trudeau selected the winner for the next panel submission. Finally, Trudeau did the last one.

Amazon.com also provides an excellent example of how to build a relationship on the Internet. Once a customer buys a book from them, Amazon.com begins collecting information and making educated guesses about what might appeal to this person. Then they make book selections and gently guide the individual toward them. They do so by creating communities of special interest groups (art, cooking, or sports for example) and offering appropriate links throughout their site. Today when a customer logs on to their Web site, Amazon.com provides a message of "Personal Recommendations" which is based on selection criteria. David Risher, Amazon.com's senior vice president of product development, says, "We're about 1% of the way there," in terms of targeting specific customers with tailored book offerings. They clearly recognize the opportunity to move consumers from casual browsers to customers to repeat buyers.

If you've been on the Internet, you've heard of Yahoo!. The company's approach to building its brand includes delivering a My Yahoo! site that allows the customer to personalize the Internet experience in return for providing basic information such as industry, occupation, and zip code. An option section requests site visitors to indicate choices that enable Yahoo! to customize the kind of news, Web sites, and information displayed on that individual's pages. The result: The customer gets information anticipated, relevant, and personal. In the process, the customer moves along the relationship-building continuum.

Even traditional marketers like Procter & Gamble (P&G) have gotten into the Internet branding act. Named "Marketer of the Year for 1999" by *Advertising Age*, P&G Interactive has led the way in gaining consumer acceptance, standardizing measurement and defining ad models, and making online media easier to buy. They have also demonstrated ingenuity in their Internet branding campaigns. One of their most successful interactive campaigns was the Scope e-mail kiss. The campaign generated an average click-through rate of 20%, with an even higher conversion rate of pass-along e-mails.

In an online campaign for Bounty paper towels, P&G created a new ad format called "sequential messaging" in which it broke down the message into four units and delivered them to the user at different areas of the site, linked by their level of involvement with the company. P&G found sequential messaging increased purchase intent. P&G learned how to transition people from acquaintances to good friends.

General Motors (GM) also has recognized the need to involve the customer based on where they are in the relationship-building process. GM revamped the Saturn Web site to offer more help and less hype. As a result, site visits tripled to as many as 7,000 per day. An astounding 70% of Saturn leads now come via the Internet, almost double the previous year. Saturn's old site offered the usual car specs and dealer referrals, but then the marketer began adding features that were actually useful, including a lease-price calculator, an interactive design shop for choosing options, and an online order form. It highlighted these new online features with a TV commercial that delivered old-fashioned emotional appeal. The humorous TV ad features a college student in his dorm room using the Internet to order a Saturn, as easily as one might order a pizza.

According to Farris Kahn, Internet coordinator for Saturn marketing, "By giving the consumers something they want, you are helping them and promoting our brand message at the same time. This improves our brand position in a way an online brochure could not."



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An example of relationship building in the business-to-business realm is Dell Computer, which moved its brand promise of "Be Direct" to the Web. For its larger business customers, such as Boeing Co., Dell developed "premier pages" that provide procurement departments with a customized Web template for ordering PCs.

"What this is about is building relationships online and keeping engaged with our customers," said David Dix, Dell's global Internet public relations manager. Dell's latest figures show the company conducts $30 million in business on the Internet daily. "The idea is we want people to say, 'We just love ordering direct from Dell; we want to buy everything from you,'" Dix says. He also adds that at Dell.com, the product is not being branded, the Internet experience is.

One of the most interesting relationship-building uses of branding on the Internet are those companies like Barnes and Noble, Toys-R-Us, and The Gap, who are seeking to link the traditional brick and mortar brand experiences they provide with their e-brand experience. Barnes and Noble announced it's going to use store locations to provide same-day delivery. Toys-R-Us has already begun to use its stores for returns and exchanges. Both of these brick and mortar leaders are leveraging their facilities to fast-forward the distribution process. Perhaps more critical than delivery is the actual order generating process. Here we find The Gap is leading the way. It is putting computers, for customer use, in many of its locations so consumers have the ability to order clothing styles they find attractive, but might not be in stock at the moment of their store visit. Consumers can sample the goods in the stores and, based on the in-store experience, place an immediate order. They do not even need a computer at home to cybershop with The Gap. In this way these companies are building integrated "clicks-and-mortar" brands that work together to create a single brand relationship.

## Measurement Issues

To maximize the opportunities of Internet branding, it is critical to measure the degree the site is actually migrating visitors to a deeper acceptance of the company and a greater attachment to its products and brands. Measurement of the effectiveness of a company's Internet marketing activities yields significant insight for cultivating more business.

Traditional communications testing methods treat respondents alike in terms of the requirement they meet a pre-specified level of awareness or knowledge about the company or its brands. Measuring a Web site's impact, however, does not and should not base evaluative considerations on a "one size fits all" category. We have learned the dialogue with each prospective customer must reflect his or her unique transition along the relationship-building continuum.

Although there are standard metrics for measuring how well a Web site is achieving its purpose, we are now approaching Web site measurement and evaluation with an additional goal—seeking to calibrate the incremental movement of each individual toward a full relationship with the sponsoring company. A strategic measurement system will need to segment prospects and customers into their respective place on the relationship-/brand-building continuum, according to the depth of their relationship with the brand. An effective system will seek to calibrate how each type of customer feels toward the brand and how likely each is to be moved along the continuum toward a deeper relationship.

This need for measurement acknowledges the traditional model of marketing, which assumes people move through stages of interest in a brand (sometimes referred to as the AIDA approach, transitioning a prospect from Awareness, to Interest, to Desire, to Action), is still relevant. The only difference will be the movement can take place much more quickly. The need to accommodate the enhanced speed of relationship building on the Internet impacts the speed that data about prospects and customers must be developed. A customer can move from neutral to satisfied to dissatisfied much more quickly via an Internet experience and, therefore, systems for measuring satisfaction must match the speed customers are changing their views toward brands.

The relevance of the traditional model should not be overlooked. People will still need to develop a sense of trust about a brand and its Web presence before they will reveal data about themselves or share their credit card number. The branding power of a site relies on the ability to bring a customer back for repeated interactions, the degree of permission granted by the customer for ongoing dialogue, and the extent this access is being leveraged. Once permission is granted, the marketer's chief goal is to expand the engagement. If done well, this elicits more trust, satisfaction, and loyalty from each customer.

At the turn of the last century, the owner of a general store knew his customers so intimately he could suggest specific products to meet their unique needs. Now, 100 years later, marketers have the opportunity to make that same personalized connection. Companies that grasp the power of the Internet and its relationship building capability will discover an accelerated path to prosperity. ■

## *About the Authors*

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